

26LBCV00714 26LBCV00714

County: los-angeles

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1. Complaint

Plaintiff, C.W. Industries, Inc.

filed this action against Defendants, Jason Michael Rodriguez, Jose Jonathan Solis (individually and dba Sol Steel), Project Steel Company, Inc., Robert Zambrano, and Lorena Zambrano for breach of duty of loyalty, conversion, fraud, trade secrets violations, interference with prospective economic relationship, violation of Penal Code §496(c), constructive trust, and common counts. The crux of the complaint is that Rodriguez, a former employee of Plaintiff, was fraudulently diverting contracts and assets from the company through the remaining individual defendants' entities. The operative complaint is the First Amended Complaint, which Plaintiff filed on 4/14/26.

2. Cross-Complaint

On 5/07/26, Rodriguez filed a cross-complaint against CWI for whistleblower retaliation, retaliation for assertion of employee rights, wrongful termination, and related employment claims. The crux of the cross-complaint is that CWI, through its management, consistently directed employees to engage in improper business practices, including manipulation of bids, concealment of costs of materials and services, misrepresentation of project pricing, and illegal firearms transactions. Rodriguez also alleges CWI was engaged in improper payment of its employees, including substituting higher on-book compensation for lower on-book compensation coupled with illegal off-book compensation. Rodriguez alleges CWI caused an unsafe working environment for its employees. Rodriguez alleges he brought concerns about the above and other illegal behavior to the attention of

management, after which he was retaliated against by termination.

3. Temporary Restraining Order

The Court was scheduled to hear
Plaintiff's application for a TRO on 5/04/26.

At the conclusion of the hearing, the Court ordered the parties to work
together to reach a stipulation and set a second hearing re: TRO for
5/08/26. On 5/08/26, the Court did not
specifically rule on the application, but scheduled a hearing on a motion for a
preliminary injunction for 6/26/26.

There is no evidence in the file showing the parties reached a
stipulation per the 5/04/26 order to do so.

On 6/03/26, the Court continued the
hearing on the motion for a preliminary injunction to 7/24/26 to allow today's
motion for a stay of proceedings to be heard.

4. Motion for Stay of Proceedings

a.

Law

Governing Stay of Civil Actions when Parallel Criminal Actions are Pending

Any party or witness in a discovery
proceeding may claim the 5th Amendment privilege against disclosure of
information that might tend to incriminate him or her under either federal or
state law. *Zonver v. Sup.Ct.* (1969) 270 CA2d 613, 620-621. No "punishment" can be imposed against a
party or witness for claiming the privilege against self-incrimination. But, at
the same time, a party is not permitted to take advantage of his or her
adversary by invoking the 5th Amendment; i.e., the party "may be required either
to waive the privilege or accept the civil consequences of silence if he or she
does exercise it." *Blackburn v. Sup.Ct.*
(1993) 21 CA4th 414, 425-426. In any
case, a blanket claim of "self-incrimination" is insufficient. The court must
have the opportunity to determine whether specific questions pose a threat of
self-incrimination. *Fuller v. Sup.Ct.* (2001) 87 CA4th 299, 305. The party or witness must assert the
privilege as to particular questions asked or other evidence sought. A blanket

refusal to appear or testify is rarely warranted. *Warford v. Medeiros* (1984) 160 CA3d 1035, 1045.

A defendant claiming the privilege against self-incrimination to avoid discovery risks the court excluding his or her testimony as to such matters at time of trial. See *Marriage of Hoffmeister* (1984) 161 CA3d 1163, 1169. Alternatively, a plaintiff may seek a protective order prior to trial to bar the defendant from testifying to such matters when the case comes to trial. *Pacers, Inc. v. Sup.Ct.* (1984) 162 CA3d 686, 688-689.

The court may stay discovery until disposition of any pending criminal proceedings or until the statute of limitations has run on criminal prosecution, so that defendant can no longer claim a 5th Amendment privilege. *Pacers, supra*, at 689. Such a stay is discretionary; defendant has no right to a blanket stay on 5th Amendment grounds. *Klein v. Sup.Ct.* (1988) 198 CA3d 894, 905. In *Avant! Corp. v. Sup.Ct.* (2000) 79 CA4th 876, 885, the court enumerated the factors to be considered in determining whether or not to stay the action. Additionally, a stay is not favored where the statute of limitations on criminal prosecution has years to run. *Fuller, supra*, at 309.

In *Avant!*, *supra*, the court delineated the factors to be considered in determining whether to grant a blanket stay as follows:

In addition, the decisionmaker should generally consider the following factors: (1) the interest of the plaintiffs in proceeding expeditiously with this litigation or any particular aspect of it, and the potential prejudice to plaintiffs of a delay; (2) the burden which any particular aspect of the proceedings may impose on defendants; (3) the convenience of the court in the management of its cases, and the efficient use of judicial resources; (4) the interests of persons not parties to the civil litigation; and (5) the interest of the public in the pending civil and criminal litigation.

b.
Analysis

Defendant, by way of his motion, seeks a blanket stay of the action, including the upcoming hearing on the

motion for a preliminary injunction. The case presents a unique situation. The case law detailed above was all decided in the context of motions seeking stays of discovery and/or trial. Preliminary injunctions, by their very nature, are a form of emergency relief. None of the authority cited by the parties was cited in the context of a motion for a preliminary injunction.

The Court finds a blanket stay is not appropriate, and the hearing on the motion for a preliminary injunction must go forward as scheduled. Plaintiff's complaint makes serious allegations regarding fraudulent diversion of assets, and Plaintiff has an interest in ensuring Defendant does not dissipate assets pending trial. If the Court were to stay this action indefinitely, including the request for provisional relief, any ultimate judgment could be rendered ineffectual, which CCP §526(a)(3) is designed to protect against.

Importantly, there are currently no criminal charges pending against Defendant. This means there is no timeline for resolution of any potential charges, which means this action, including the request for an injunction, could potentially be stayed for an extended period while investigation is ongoing.

The Court notes that the relief sought by way of the upcoming request for a preliminary injunction includes a carve-out allowing Defendant to use his assets for his personal expenses, so long as he accounts for those expenses. Thus, even if the motion is ultimately granted (which the Court is certainly not determining at this time), Defendant will not be deprived of his ability to meet his daily expenses, and will only be precluded from fraudulently transferring assets to avoid judgment.

Defendant may assert the privilege on a question-by-question basis at the hearing if he chooses to do so, and must accept the consequences of that choice, which are detailed above.

This ruling is without prejudice to Defendant's right to renew the motion after the hearing on the motion for a preliminary injunction is heard.

Defendant is ordered to give notice.